

The Chip Unwind

A Korea-led memory selloff drags the Nasdaq -2.21% and the S&P -1.43%. Semiconductors fall across both sleeves. The Dividend Strategy holds the line at -0.59% as staples, healthcare, and defense rise. Growth -3.20%.

THE SESSION

The chip-cohort divergence that defined Monday resolved decisively to the downside. A global memory selloff that began in Seoul carried straight onto Wall Street: South Korea's Kospi fell roughly ten percent intraday and triggered exchange circuit breakers twice after regulators cautioned that the rally in leveraged chip ETFs had grown overheated. SK Hynix and Samsung Electronics each gave back more than twelve percent, and the signal traveled through every memory peer on the board.

Here at home the damage was concentrated, not broad. The Nasdaq fell 2.21% and the S&P 500 closed -1.43% at 7,365.92, yet the Dow held essentially flat at -0.09% and roughly six of every ten S&P names finished higher. The arithmetic is straightforward: technology shed better than four percent and erased the gains of nearly everything else. The VIX rose 12.21% to 19.39 — elevated, but a long way from disorder.

A second pressure point compounded the tape. A Bank of America note circulated Monday now calls for three quarter-point rate hikes in September, October, and December, a sharp reversal from its prior on-hold base case and a reading of Chair Warsh's hawkish first meeting. The ten-year yield held near 4.50%, and the long-duration AI complex is the most sensitive seat in the house when the rate path resets higher.

This is precisely the session the dual-sleeve structure is built for. The Dividend Strategy's ballast — consumer staples, healthcare, and defense — absorbed the blow and held the strategy to -0.59%, ahead of the S&P. The Growth Portfolio, by design concentrated in the names leading this cycle, carried the full weight of the unwind at -3.20%. Neither outcome is a surprise; both are the framework working as intended.

IOWN Tactical: a crowded trade unwinding is not a thesis breaking. Carson's SPY \$645.80 support sits far below

Tuesday's close, and the buy tranches at -20/-25/-30% from the high remain untouched. We own businesses, not momentum — and we let the ballast do its job.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

CL +3.11% DIVIDEND STRATEGY

Colgate-Palmolive led the defensive bid as capital rotated out of technology and into consumer staples — a textbook risk-off destination on a chip-led down day.

ATAT +3.08% GROWTH PORTFOLIO

Atour Lifestyle bucked the growth-sleeve trend, insulated from the semiconductor unwind by its consumer-services profile.

ABT +3.07% DIVIDEND STRATEGY

Abbott Laboratories drew a healthcare safe-haven bid, part of the broad defensive rotation that lifted staples and medical names.

CHD +2.92% DIVIDEND STRATEGY

Church & Dwight rose alongside the staples cohort as investors sought earnings stability over momentum.

ADP +2.75% DIVIDEND STRATEGY

Automatic Data Processing advanced on its defensive, recurring-revenue profile amid the rotation.

HRMY +2.18% GROWTH PORTFOLIO

Harmony Biosciences gained, its specialty-pharma cash flows largely uncorrelated to the AI-infrastructure trade under pressure.

OKE +2.05% GROWTH PORTFOLIO

ONEOK extended its gas-infrastructure bid, the Permian physical-flow thesis advancing independent of the chip tape.

LMT +2.04% DIVIDEND STRATEGY

Lockheed Martin reversed two sessions of peace-deal drawdown, the defense complex finding a bid on the day's flight to ballast.

GD +2.03% DIVIDEND STRATEGY

General Dynamics rose with the defense cohort ahead of the reported Wednesday White House meeting with prime contractors.

DGX +1.86% DIVIDEND STRATEGY

Quest Diagnostics added to the healthcare defensive move.

DECLINERS

CRDO -10.09% GROWTH PORTFOLIO

Credo gave back its beat-and-raise run, opening nearly \$25 below the prior close. The reversal came despite a fresh wave of bullish targets — BofA to \$340, Stifel to \$350, and an Evercore Outperform initiation — underscoring that this was a positioning unwind, not a fundamental reset.

MRVL -9.36% GROWTH PORTFOLIO

Marvell fell with the memory and AI-connectivity complex as the Korean selloff repriced the entire data-center semiconductor cohort.

LRCX -9.33% DIVIDEND STRATEGY

Lam Research dropped sharply — semiconductor-equipment names are squarely in the memory-capex crosshairs when SK Hynix and Samsung sell off.

ADI -8.58% DIVIDEND STRATEGY

Analog Devices declined with the broad chip tape despite no company-specific catalyst.

QCOM -8.01% DIVIDEND STRATEGY

Qualcomm fell with the semiconductor cohort as the global selloff pressured every chip name regardless of end-market.

NXPI -7.21% GROWTH PORTFOLIO

NXP Semiconductors gave back recent gains in the sector-wide derisking.

FCX -6.95% GROWTH PORTFOLIO

Freeport-McMoRan fell as materials and cyclical weakened alongside the risk-off rotation and a softer gold tape.

TSM -6.69% GROWTH PORTFOLIO

Taiwan Semiconductor declined with the global foundry and memory complex on the Asia-led unwind.

AMD -5.76% GROWTH PORTFOLIO

Advanced Micro Devices fell on the Korean-led chip selloff even as more than forty analysts maintain Buy ratings — the disconnect framing the move as sentiment, not story.

KEYS -5.56% GROWTH PORTFOLIO

Keysight Technologies dropped with the test-and-measurement read-through to semiconductor capital spending.

TEL -4.53% DIVIDEND STRATEGY

TE Connectivity declined with the broader hardware and connectivity complex.

NVDA -4.15% GROWTH PORTFOLIO

Nvidia fell as the rotation out of AI infrastructure pressured the cohort's anchor name ahead of Micron's Wednesday print.

ETHA -4.13% DIGITAL ASSET ETF

The ether sleeve fell with risk assets as Bitcoin slipped to roughly \$62,400 (-2.48%) on the hawkish rate read.

IBIT -3.26% DIGITAL ASSET ETF

The Bitcoin sleeve declined alongside the broad risk-off tape and the higher-for-longer rate signal.

HOLDINGS NEWS

Chevron (Dividend-adjacent energy) and Microsoft drew continued coverage on Project Kilby, the 20-year gas-fired power agreement anchoring a 2.67 GW West Texas data-center complex. CVX held firm at +0.53% on a down day — a physical-world AI cross-reference advancing while the silicon side of the trade unwound.

AMD (Growth Portfolio) carried a notable disconnect. Coverage citing more than forty analysts with Buy ratings ran the same

session the stock fell 5.76% in the Korean-led selloff, reinforcing that the day's move was a positioning event rather than a change in the fundamental case.

Coinbase (Growth Portfolio) reported interest in AI-trading and pre-IPO access to private AI names, though COIN finished -4.04% with the broad risk-off tape. Robinhood's recently disclosed \$2 billion zero-interest convertible offering continues to frame the digital-rails balance-sheet capacity into the next product cycle.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

-0.59%

vs. DVY +0.93% | SPY -1.43%

GROWTH PORTFOLIO

X TRAIL

-3.20%

vs. IUSG -2.31%

YEAR-TO-DATE

Dividend +13.11% vs DVY +10.23% / SPY +7.60%

Growth +20.86% vs IUSG +8.93%